BUY

Kweichow Moutai (600519.SS)

Rating since Nov 23, 2021

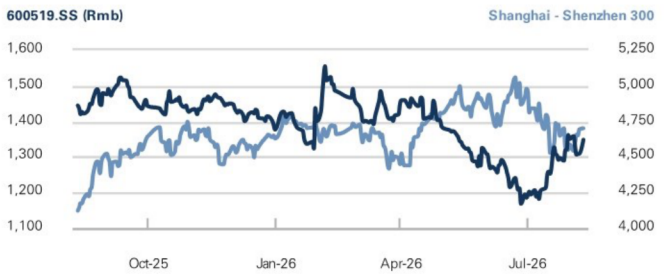
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	22.5	19.9	18.2	17.1
P/B (X)	7.6	6.4	5.9	5.5
FCF yield (%)	3.1	4.4	5.0	5.3
EV/EBITDAR (X)	14.7	12.9	11.7	10.9
EV/EBITDA (excl. leases) (X)	14.7	12.9	11.7	10.9
CROCI (%)	32.6	29.9	29.9	28.9
ROE (%)	34.5	33.4	33.9	33.3
Net debt/equity (%)	(59.4)	(58.2)	(60.0)	(60.8)
Net debt/equity (excl. leases) (%)	(59.4)	(58.2)	(60.0)	(60.8)
Interest cover (X)	3,966.0	–	–	–
Days inventory outst, sales	122.8	137.0	140.4	139.0
Receivable days	7.0	9.4	9.2	9.3
Days payable outstanding	758.3	681.8	723.3	722.2
DuPont ROE (%)	32.4	30.8	30.9	30.1
Turnover (X)	0.6	0.5	0.5	0.5
Leverage (X)	1.2	1.2	1.2	1.2
Gross cash invested (ex cash) (Rmb)	272,555.4	296,886.5	324,146.4	355,105.0
Average capital employed (Rmb)	79,350.3	109,276.7	117,879.1	124,709.1
BVPS (Rmb)	195.36	210.37	227.44	247.19

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	(1.2)	3.9	8.3	5.8
EBITDA growth	(3.3)	2.5	9.3	6.4
EPS growth	(4.2)	3.1	9.5	6.4
DPS growth	0.9	1.8	8.1	3.6
EBIT margin	66.2	65.3	66.0	66.3
EBITDA margin	67.5	66.6	67.3	67.6
Net income margin	47.8	47.5	48.0	48.3

Price Performance



	3m	6m	12m
Absolute	(1.8)%	(10.4)%	(5.1)%
Rel. to the Shanghai - Shenzhen 300	1.8%	(9.9)%	(17.1)%

Source: FactSet. Price as of 10 Aug 2026 close.

Income Statement (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	172,054.2	178,763.9	193,635.5	204,873.9
Cost of goods sold	(15,068.2)	(17,857.4)	(18,679.1)	(19,601.6)
SG&A	(42,927.8)	(44,055.0)	(47,139.1)	(49,321.8)
R&D	(190.1)	(89.4)	(96.8)	(102.4)
Other operating inc./(exp.)	93.4	–	–	–
EBITDA	**116,165.1**	**119,126.5**	**130,240.6**	**138,515.9**
Depreciation & amortization	(2,203.6)	(2,364.4)	(2,520.0)	(2,667.9)
EBIT	**113,961.5**	**116,762.1**	**127,720.6**	**135,848.1**
Net interest inc./(exp.)	815.2	679.6	723.5	812.4
Income/(loss) from associates	0.2	–	–	–
Pre-tax profit	**114,755.3**	**117,419.6**	**128,422.1**	**136,638.5**
Provision for taxes	(29,444.9)	(29,354.9)	(32,105.5)	(34,159.6)
Minority interest	(2,990.3)	(3,169.7)	(3,359.9)	(3,561.4)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**82,320.1**	**84,895.1**	**92,956.7**	**98,917.4**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**82,320.1**	**84,895.1**	**92,956.7**	**98,917.4**
EPS (basic, pre-except) (Rmb)	**65.74**	**67.79**	**74.23**	**78.99**
EPS (diluted, pre-except) (Rmb)	**65.74**	**67.79**	**74.23**	**78.99**
EPS (basic, post-except) (Rmb)	**65.74**	**67.79**	**74.23**	**78.99**
EPS (diluted, post-except) (Rmb)	**65.74**	**67.79**	**74.23**	**78.99**
DPS (Rmb)	51.93	52.88	57.16	59.24
Div. payout ratio (%)	79.0	78.0	77.0	75.0

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	150,786.8	160,545.0	180,288.6	199,915.6
Accounts receivable	4,502.6	4,678.1	5,067.0	5,361.0
Inventory	61,427.4	72,798.3	76,147.8	79,908.6
Other current assets	35,801.8	41,172.1	47,347.9	54,450.1
Total current assets	**252,518.7**	**279,193.5**	**308,851.4**	**339,635.3**
Net PP&E	24,961.1	26,844.0	28,718.9	30,491.0
Net intangibles	8,802.6	8,988.1	9,158.6	9,314.1
Total investments	150.3	210.3	270.3	330.3
Other long-term assets	17,402.2	17,402.2	17,402.2	17,402.2
Total assets	**303,834.8**	**332,638.1**	**364,401.4**	**397,172.9**
Accounts payable	30,532.9	36,184.9	37,849.8	39,719.1
Short-term debt	–	–	–	–
Short-term lease liabilities	–	–	–	–
Other current liabilities	19,077.5	20,262.1	25,620.6	28,232.0
Total current liabilities	**49,610.5**	**56,447.0**	**63,470.4**	**67,951.2**
Long-term debt	–	–	–	–
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	265.1	265.1	265.1	265.1
Total long-term liabilities	**265.1**	**265.1**	**265.1**	**265.1**
Total liabilities	**49,875.6**	**56,712.1**	**63,735.6**	**68,216.3**
Preferred shares	–	–	–	–
Total common equity	244,637.8	263,434.8	284,814.9	309,544.2
Minority interest	**9,321.4**	**12,491.1**	**15,851.0**	**19,412.4**
Total liabilities & equity	**303,834.8**	**332,638.1**	**364,401.4**	**397,172.9**
Net debt, adjusted	(150,786.8)	(160,545.0)	(180,288.6)	(199,915.6)

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	82,320.1	84,895.1	92,956.7	98,917.4
D&A add-back	2,203.6	2,364.4	2,520.0	2,667.9
Minority interest add-back	2,990.3	3,169.7	3,359.9	3,561.4
Net (inc)/dec working capital	(24,874.4)	(5,894.4)	(2,073.6)	(2,185.4)
Other operating cash flow	(1,117.3)	(5,370.3)	(6,174.8)	(7,100.2)
Cash flow from operations	**61,522.2**	**79,164.4**	**90,588.2**	**95,861.1**
Capital expenditures	(3,127.6)	(4,432.8)	(4,566.3)	(4,597.5)
Acquisitions	–	–	–	–
Divestitures	0.2	–	–	–
Others	(28,514.5)	(60.0)	(60.0)	(60.0)
Cash flow from investing	**(31,641.9)**	**(4,492.8)**	**(4,626.3)**	**(4,657.5)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(64,671.8)	(65,033.6)	(66,218.1)	(71,576.7)
Inc/(dec) in debt	–	–	–	–
Other financing cash flows	(907.1)	120.1	0.0	0.0
Cash flow from financing	**(65,578.9)**	**(64,913.5)**	**(66,218.1)**	**(71,576.7)**
Total cash flow	**(35,698.6)**	**9,758.2**	**19,743.7**	**19,627.0**
Free cash flow	58,394.6	74,731.6	86,021.8	91,263.6

Source: Company data, Goldman Sachs Research estimates.